

Age 13

Family Service Day

For this birthday celebration, you're going to put a twist on the money lessons you've been teaching your child all these years. Remember how I said I don't believe in little pink piggy banks because they teach kids to be selfish hoarders? This lesson is all the more important once your child starts high school, because it can be very tempting to want to compete with other kids who have "cooler" stuff. Ask any 13-year-old: It's tough being a teenager. You want so much to fit in! But trying to keep up with the Joneses only reinforces the idea that life is all about buying into brands instead of financial prudence. So this year, you're going to teach your 13-year-old an important lesson: Being a financially literate adult isn't only about what you can get. It's also about what you give.

That giving can take several forms. If your family has favorite charities, put your daughter in charge of this year's annual contribution. If you have a history of volunteering, dedicate a Family Service Day. Is there a particular organization with a mission statement that your teen thinks is really cool? Put her in charge of doing the research and setting it all up. She's old enough now to surf the web for worthwhile nonprofits, and she's more than capable of picking up the phone and scheduling a day of service. Ideally, she should choose something that the whole family can do together, whether it's volunteering in a soup kitchen, cleaning litter out of a river or planting trees. Remember, you're demonstrating good money karma. You'll get back what you put in.

If volunteering isn't your thing, here's another option: plan a Phase-Two Vacation—a vacation you go on with the whole family (not the romantic two-person getaway of yesteryear). You can even include your relatives, if you're up for it. Whenever possible, invite your siblings and their kids so your children can build deeper relationships with their cousins. Group vacations can stabilize families, which can help your kids, nieces and nephews later in life if they get into trouble. These early experiences form an irreplaceable community and a web-like system of support. Most